

the federal government would buy back U.S. bonds in “gold or its equivalent.”²⁶ If the government were to buy bonds with gold, the supply of gold in the market would increase, meaning that the price of gold would decrease. Gold quickly fell to \$130 an ounce, its lowest point since 1862.²⁷

Gold has been valued by civilizations over hundreds of centuries, and for a savvy investor, a drop in price typically signifies a time to buy. Gould was not satisfied, however, with buying gold and holding it patiently until he could sell at a higher price and make an earnest profit. He had an ulterior motive for driving gold up. He believed it would cause currency devaluation, which would create an export boom that would benefit the Erie Railroad,²⁸ a company in which he was intimately involved. Furthermore, there was the clear opportunity to benefit from buying low and selling high.

Knowing that the federal government could control the price of gold with its open market operations, Gould devised a plan to convince Grant, and thereby the federal government, not to sell the gold it intended to. Since the federal gold reserves were north of \$100 million, which was greater than the amount of gold in circulation, Gould rightly realized that controlling the federal government meant controlling the price of gold in U.S. markets.²⁹ If he could convince the government not to sell its gold, then there would be less supply in the market, thereby driving the price up. The price would go up even more if Gould could freely buy it without having to worry about a government dump.